IREN (IREN) | Earnings Update

Fiscal 1Q FY27 (quarter to 30 September 2026) | 6 November 2026

Prepared by Josh for CK, Third Prime. Post-call version. Treat as a strong first draft.

1 Executive snapshot

Consensus thesis. A former miner with owned power becoming a GPU cloud, with over $4bn of contracted ARR for 2026 capacity, where the market pays for the contracts but doubts the funding.

Thesis status: Monitoring. **Versus expectations.** Quarter: in line to slight beat (revenue $228mn vs $221.3mn consensus, EPS -$0.66 vs -$0.665; both single-source, Equibles 17 Oct). Outlook: below (over $4bn ARR moved from December to January, possibly February; about $250mn of December-quarter revenue implied, plus residual mining, vs $392mn consensus).

Biggest changes

- Over $4bn ARR target moved from year-end to January, possibly end of February, after a Microsoft network change across 200 MW and supplier timing.
- December quarter implied near $250mn of revenue, plus any residual mining (a quarter of $1bn ARR, no material new Horizon or Mackenzie capacity), against $392mn consensus dated 17 October.
- FY27 capex plan cut: about $5bn spent plus about $15bn remaining, or near $20bn, against $25bn to $30bn in August.
- New contracts at about $22mn per IT MW-year on five years and over $40mn on a short term; prepayments reach up to 90% of GPU capex.
- Net debt rose from $216mn to $4.43bn in one quarter; parent-guaranteed GPU debt priced at 9.0% and 9.51%.

Investor takeaway. The consensus view should shift from timing to funding: the $4bn ARR target slipped one to two months and December-quarter consensus needs to fall by about a third, but cutting FY27 capex by $5bn to $10bn and raising contract prices lowers the funding risk the stock had been pricing, while credit quality holds rather than improves as net debt jumps to $4.4bn.

Monitor next quarter

- Operating ARR and Horizon 2 to 4 acceptance dates by end January.
- How the $6bn target funding closes, at what price, and ATM use with the stock near $21 (post-quarter sales averaged about $36).
- Tenant, MW and term on 2027 contracts; operating margin as AI revenue ramps.

2 Key changes this quarter

Pillar	Market assumed	Quarter showed	Verdict	Source
P1 ARR live on time	Over $4bn by December; $392mn next quarter	$1bn at 30 Sep; target January, may run to February; Microsoft-requested changes carry no delay credits, revenue still later	Challenged	Release; call; 10-Q
P2 Funding gap closes without heavy dilution	$14bn secured, $8bn targeted, of $25bn-$30bn	$15bn remaining: $9bn in hand, $6bn targeted against $12bn-$15bn indicative sources. Shares +7.0% QoQ, +4.3% more by 30 Oct	Unresolved	Release; call; 10-Q
P3 2027 capacity contracts	Late-stage talks cover much of 2027	Backlog $20.3bn, +22% QoQ; post-quarter 5-year and short-term contracts, a lab expansion, H100 recontracts; 2027 mix not guided	Unresolved	Release
P4 Pricing holds	Above $20mn per IT MW	Post-quarter $22mn on 5 years, over $40mn short; in-quarter 3-year $19mn-$23mn, 5-year about $17mn; pricing +11%, +12%	Confirmed, mixed	Release
P5 Depreciation and returns	GPU life about six years	Operating margin -82% vs EBITDA 29%; life in years not found in the 10-Q	Unresolved	10-Q

Emphasized more: capital discipline (the CEO attributed the capex cut purely to financial markets), prepayment share, investment-grade share of backlog, data center assets as collateral ($6bn net, 20-year life).

Emphasized less or dropped: the $25bn-$30bn FY27 capex headline; any dated target for ARR beyond the $4bn level (the CFO declined to give one).

KPIs now matter more: remaining capex against sources, prepayment percentage, operating margin. **Less:** mining revenue ($28mn, ending by December).

Risks up: delivery, refinancing load (current debt $950mn vs $169mn). **Risks down:** equity-at-any-price, since the capex plan flexed.

Topic	Analysts, 5 Nov call	Status	Answer
Delivery and MW timing	Golding (Macquarie)	Persistent	Partial: no split of delay by cause
Capex and funding	Golding; Lewis (BTIG); Ng (Goldman)	Rising	Partial: extra cost "entirely immaterial", no $ per MW update
Customer credit mix	Knoblauch (Cantor)	Rising	Direct opening: "both"
Pricing and demand	Vafi (Canaccord); Lewis; Petersen (Jefferies)	Persistent	Direct: GPU price rises passed through
Power and sites	Vafi; Donovan (Compass Point); Petersen	Persistent	Direct: staged land options; Sweetwater 2GW in Batch Zero
2027 capacity mix	Colonnese (H.C. Wainwright)	New	Deflected: composition not guided
Depreciation, residual value	None	Absent	Nobody asked: a gap

Trevor's watch-list. No analyst named by CK; I chose Brett Knoblauch (Cantor) because he pressed credit mix here and backstop durability on TeraWulf's call a day later. 3Q26: asked whether investment-grade mix is the emphasis given prepayment-heavy deals; opening answer direct. Later evidence: backlog about two-thirds investment-grade. Earlier-call Q&A was not retrieved, so the matrix covers one quarter.

3 KPI dashboard

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Revenue, $mn	228	137	240	+66% / -5%	[↑]
AI cloud revenue, $mn	200	71	7	+182% / n.m.	[↑]
of which lease, $mn	65	nil	nil	new	[↑]
Mining revenue, $mn	28	67	233	-58% / -88%	[↓]
Adjusted EBITDA, $mn (margin)	66 (29%)	19 (14%)	92	+15pp margin	[↑]
Operating loss, $mn (margin)	-186 (-82%)	-620 (incl. $450mn impairment)	-76	distorted	[?]
D&A, $mn	148	112	85	+32% / +74%	[↓]
Operating AI capacity, MW	93	about 41 (derived)	n.a.	+127%	[↑]
Operating ARR	$1bn	about $0.5bn ("doubled")	n.a.	+100%	[↑]
Backlog	$20.3bn	about $16.6bn (derived)	n.a.	+22%	[↑]
Top-3 customers, % revenue	28/24/18	n.a.	n.a.	70% total	[?]
Capex, cash, $mn	4,824	1,978	280	+144%	[↓]
Unpaid capex in payables, $mn	2,493	n.a.	126		[?]
Operating cash flow, $mn	529	1,811	142	prepayment-led	[~]
Finance expense, $mn (% revenue)	73 (32%)	24 (18%)	9	+204%	[↓]
Total debt incl. leases, $mn	10,208	7,836	n.a.	+30%	[↓]
Net debt, $mn	4,430	216	n.a.	up 20x	[↓]
Recourse / non-recourse debt, $mn	8,061 / 1,980	6,768 / 938	n.a.		[↓]
Deferred revenue, $mn	2,544	1,843	n.a.	+38%	[↑]
Shares outstanding, mn	406.9	380.2	282.9	+7.0% / +43.8%	[↓]

Flags: for cost, debt and dilution lines, [↓] means worse for shareholders. Fiscal 1Q FY27 shown as 3Q26 by calendar. Prior-quarter MW and backlog derived from company growth rates.

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Management explanation	Analyst read
Over $4bn ARR	January; may run to February	Lowered (was by 31 Dec)	Below	Microsoft network change on 200 MW, supplier timing	No delay credits owed; revenue slips, contracts do not
December-quarter revenue	None; a quarter of $1bn ARR, no material new capacity	New signal	About $250mn plus residual mining vs $392mn (derived)	Ramp in early 2027	Consensus should fall; FY27 $2.81bn at risk
FY27 capex	About $15bn remaining	Lowered (about $20bn total vs $25bn-$30bn, derived)	No consensus	Financial markets, not demand	Credit-positive, delays growth
Capacity	0.8GW by end 2027	Maintained	n.a.	Six sites building	Not all contracted
GPU financing mix	About 90% of GPU capex incl. prepayments	Consistent per CFO	n.a.	Contracts up to 90% from prepayments alone	Tenant funds the chips

Underlying economic performance: improving on contract prices and EBITDA, still deeply negative at the operating line (-82%) with funding costs rising faster than AI revenue is delivered.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observation	Implication
Power and sites	Strong	Stable	Over 5GW secured; 2GW Sweetwater in ERCOT Batch Zero, conditional	Option value; capex staged
Customer credit	Improving	Up	About two-thirds of backlog investment-grade; NVIDIA, Microsoft and 13 others	Supports cheaper debt
Cost of capital	Middling	Mixed	Investment-grade block stated near 6%; other GPU debt stated 9.0%-9.51%, parent-guaranteed	Tenant credit sets price
Delivery speed	Good, disrupted	Mixed	Horizon 1 in about 14 months; 200 MW redesign	Tenant changes are the new risk
Software	Emerging	Up	Mirantis bought for about $538mn	Unproven for margin
Durability	Unproven	Unclear	Three-year to five-year contracts on 20-year buildings	Re-leasing decides value

Over 5 to 10 years the owned sites and power should outlast any GPU generation; the question is whether IREN keeps enough equity value through the capex cycle to own them. H100s recontracting at double original pricing help today, but one data point does not set a residual curve.

6 Major risks and changes

Risk	Prior	Current	Direction	Implication
Delivery and tenant changes	Elevated	Elevated	Up	Microsoft changes extend dates: no credits owed, but revenue starts later
Funding and refinancing	High	High	Mixed	$723mn due in rest of FY27, $1.06bn in FY28; $6bn still targeted
Concentration	Elevated	Elevated	Stable	Top three 70% of revenue, unnamed in filing
GPU residual value	Open	Open	Stable	Short contracts; no life in years found in 10-Q
Component cost	Low	Rising	Up	Memory and SSD push GPU prices
Community opposition	Low	Low	Up	Raised by Goldman

Delay. Concern: the ARR ramp keeps moving. Response: tenant-requested and small. Evidence: 10-Q says Microsoft-requested changes extend delivery dates with no delay credits due; Horizon 3 GPUs on site, Horizon 4 still arriving.

Funding. Concern: capex exceeds what markets will fund. Response: fully funded to the ARR target; $6bn target against $12bn-$15bn indicative. Evidence: $18.9bn of commitments at 30 September (Dell's $6.7bn

order of 28 September likely inside, overlap not stated) against $5.8bn cash, of which $2.3bn restricted.

7 Capital, funding and per-share impact

Period	Capex	Op. cash flow	Gap	Debt raised	Equity	Deferred rev. change	Net debt	Shares (mn)
3Q26	4,824	529	4,295	About $2.3bn net (9.0%, 9.51%, USPP 5.96%)	498	645	4,430	406.9
2Q26	1,978	1,811	167	Part of financing $5.7bn total	2,112	1,722	216	380.2

What the next dollar costs: stated 9.0% and 9.51% on parent-guaranteed GPU debt (effective 10.7% and 10.4%), against stated 5.96% on non-recourse private-placement notes (effective 7.1%); converts effective 0.4% to 4.2%, with dilution. No market bond or CDS quote found.

Maturities to June 2028: $723mn (rest of FY27), $1,059mn (FY28), against current debt of $950mn. GPU tranches amortize over 30 to 36 months, about the length of short contracts.

Does the contract out-earn funding? At about $22mn per IT MW-year with 90% GPU prepayment, management cites 18-month GPU payback in a $20mn, 50% example; on those terms yes, but operating margin has yet to show it. Market cap near $8.9bn at $21.07 (24/7 Wall St., 6 Nov, 9:54 ET) on 424.4mn shares; remaining capex is 1.7x that.

8 Monitoring checklist

Five signals: Operating ARR at 31 January; Remaining FY27 capex against closed funding; Share count against the ATM; Prepayment share on new contracts; AI cloud operating margin.

Key risks building: Current debt up more than fivefold to $950mn; $18.9bn of commitments, up from $13.8bn; 70% revenue with three customers.

Confirmation signals: Horizon 2 to 4 accepted by February; data center financing closed without the parent; a named 2027 tenant.

Conviction tripwires: ARR past February; ATM use below $25 to fund capex; a new GPU debt coupon above 10%; any contract with prepayment under 50%.

Questions for owners (with what was asked on the call)

1. Credit. You have $5.8bn of cash, $2.3bn restricted, against $18.9bn of commitments. Which are cancellable, and what is the latest date you must close the $6bn before capex stops? → *Tests P2. Not answered as framed.*

2. Credit. GPU debt now costs 9.0% to 9.51% with a parent guarantee. What is the ceiling you would pay, and will you put data centers under non-recourse debt? → *Tests recourse. Sources named, price not.*

3. Equity. You sold about $630mn of stock in October at about $36 by our math. Will you use the ATM near $21? → *Dilution. Not asked as far as visible.*

4. Equity. You estimate GPU useful lives and sign contracts for three to five years. What operating margin does Horizon 1 earn today? → *Tests P5. Not asked.*

5. Delivery. Microsoft's change extends dates without credits. How many more changes can it request and is any revenue date contractually fixed? → *Tests P1. Partly asked by Macquarie.*

Read-across for Kona. IREN's newest contracts show a tenant can fund up to 90% of GPU capex by prepayment, which sets the opening ask if Kona owns GPUs. Its 9.0% to 9.51% parent-guaranteed debt is the price of non-investment-grade GPU money, likely a floor for Kona. IREN's contract protects it from delay credits when Microsoft asks for a change, yet revenue still starts late; Kona should copy that clause and also seek payment for time lost to tenant changes. Staging capex with cheap land options is the behavior to copy.